

Diligence Report — CUSIP 271014D58

East Bay Municipal Utility District (EBMUD) — Water System Revenue Bonds, Series 2017A/B (5% coupon) 5.00% coupon · due 2045-06-01 · callable at par 2027-06-01 · uninsured (AAA/Aa1-category) · subordinated net-revenue pledge Cutoff: 2026-06-20 · Analyst desk: SignalOS muni_credit

(a) Verdict, thesis, and resolved issuer

Verdict: BUY (same benchmark-grade EBMUD credit and same Official Statement as 271014D66; this is the 5%-coupon maturity of the identical issuer/system/pledge — the only differences are coupon, price and secondary liquidity).

Resolved issuer (CONFIRMED — identical to 271014D66). Obligor is the **East Bay Municipal Utility District (EBMUD)** Water System; the security is the **Series 2017 Water System Revenue Bonds**, payable from **Subordinated Water Revenues**. This CUSIP is the **5.00% coupon** line of the same Series 2017 issue (271014D66 is the 4.00% line). Same pledge, same supply, same coverage, same ratings, same OS — see CUSIP 271014D66 for the full credit derivation; this report carries the same findings and flags the line-specific differences (price/liquidity).

Why BUY: identical clean subordinated net-revenue pledge, ~1.4M-person diversified base (top customer 4.3% of revenue), Mokelumne Sierra-snowmelt supply (NOT Colorado/SGMA — see correction below), uninsured top-tier ratings, double tax-exemption. The 5% coupon trades at a premium (~101.2), so the **par call 2027-06-01 is the worst-case date** and yield-to-worst governs.

Supply correction (carried from the issuer file): a prior screen mislabeled EBMUD as "Colorado River / SGMA Kings basin HIGH." **WRONG — corrected.** EBMUD runs on **Mokelumne River Sierra snowmelt** (Pardee/Camanche) with a Sacramento River (Freeport) drought supplement; no Colorado dependence, not in the Kings/Tulare SGMA basin.

(b) Security — the revenue pledge

Claim	How verified	Source / authority	Finding
Subordinated net-revenue pledge	Read OS security clause (same OS as 271014D66)	OS cover/p.2	VERIFIED. "Special obligations ... payable solely from ... a pledge of Subordinated Water Revenues." Junior to senior Water System Revenue Bonds.
Not Wastewater / not COP-lease / not special tax	Read carve-out	OS p.2	VERIFIED. Pure Water System net-revenue credit; not payable from Wastewater revenues.
5% coupon line of the same issue	Cross-check cache + structure	<code>water_revenue_cache.json</code> ; structure screen (coupon 5.0)	VERIFIED. Same Series 2017 issue, 5.00% maturity (vs the 4.00% on 271014D66).
Insurance	Read cover	OS cover	NONE (uninsured).

(c) System and customers (concentration test)

- **System type:** Large retail **water** utility, ~1.4M people (Oakland/Berkeley/East Bay); separate wastewater (not pledged).
- **Customer diversification — CONFIRMED extreme:** largest account = 7.0% of water sold but only **4.3% of total water-sales revenue**; ten-largest are a small share. No single-customer dependency. Best-diversified base in the sleeve.

(d) DSCR / rate covenant / WATER SUPPLY / Prop 218

(Identical to CUSIP 271014D66 — same issuer, same OS.)

Debt-service coverage (DSCR)

- **Rate covenant: 1.1x** on Subordinated Water Revenues.
- **Coverage:** managed to a **1.6x policy target** (FY18 1.60x incl. \$26M RSF draw; FY19 1.60x incl. \$2M RSF draw; FY20–22 1.64/1.70/1.77x with **no further draws** and RSF replenished). **Cached continuing-disclosure series 2.14 → 2.33 → 2.17 → 2.23 → 2.51x** — comfortably above both the 1.6x target and the 1.1x covenant. Modest RSF use is prudent reserve management against >\$350M reserves, **not covenant engineering** (policy target >> covenant).

WATER SUPPLY (load-bearing — lead here; CACHE LABEL CORRECTED)

- **Source: Mokelumne River, Sierra Nevada snowmelt (NOT Colorado, NOT Kings/SGMA).** 627-sq-mi watershed, Pardee/Camanche reservoirs, Mokelumne Aqueducts, with a **Sacramento River / Freeport (Bay-Delta)** drought supplement. Risk = Mokelumne multi-year-drought hydrology + Bay-Delta on the supplement; **no Colorado/SWP import- allocation dependence**. Drought surcharges + Water Supply Management Plan disclosed. More self-sufficient than the import-fed SoCal names.

Prop 218

- Water rates are Prop 218 fees/charges (majority-protest, cost-of-service); multi-year rate schedule adopted.

(e) Liquidity

- **EMMA trade tape (live, throttled, 2026-06-20): 69 trades / 365 days, but only 2 in the last 90 days,** last print 30 days ago, **6 two-sided days**, median block ~\$25k. **This 5% line is materially THINNER than the 4% line (271014D66 = 178/yr) and shows a WIDE two-sided yield spread (~82 bps, price spread ~1.29 pt).** That wide spread is partly a premium-coupon / odd-lot artifact, but it is a real **execution caveat: prefer the 4% line (271014D66) for liquidity, or work this line patiently in size.** Treat as a higher one-time round-trip cost in an HTM ladder. Credit is identical and BUY-grade; the caveat is purely execution.

(f) Tax status and yield

- **Tax status: DOUBLE TAX-EXEMPT (verified — same OS).** Interest excluded from federal gross income + exempt from CA personal income tax. 5.000% round coupon — premium bond, not a taxable-OID line.

- **Yield / TEY:** cached clean price ~101.2, after-tax-equivalent yield ~**7.64%** (lower than the 4% line's 8.04% because of the premium price; CA gross-up of gross YTM, not net-of-fee). **Premium + par call 2027-06-01 ⇒ yield-to-WORST is the yield to the 2027 call, NOT yield to 2045 maturity** — quote YTW only; do not quote YTM.

(g) Risks (lead with supply, then concentration/structure)

1. **WATER SUPPLY — Mokelumne hydrology + Bay-Delta supplement (primary, self-sufficient vs peers):** Sierra snowmelt base + owned storage + Freeport drought backstop. No Colorado/SGMA exposure (cache corrected). Multi-year drought is the monitorable.
2. **Subordinated lien:** junior to senior Water System Revenue Bonds; offset by deep all-in coverage and AAA/Aa1-category ratings.
3. **LIQUIDITY / execution (line-specific):** this 5% line is thin (69/yr, only 2 prints in 90 days, ~82 bps two-sided spread) vs the deep 4% line. **Execution caveat — prefer 271014D66 for liquidity.** Credit unchanged.
4. **Concentration: LOW / NOT A RISK** (top customer 4.3%).
5. **Honesty assessment: CLEAN.** Same disclosures as the 4% line; no divergence; nothing to exclude. BUY on credit; the only deduction is the execution caveat on this premium/thin line.

(h) Sources

- **EMMA Official Statement — EBMUD Water System Revenue Bonds, Series 2017A / 2017B** (same OS as 271014D66). On-file:
`/Users/ajay/exalted/signalos/verticals/muni_credit/data/_water_os/271014D58.txt`
`(+ .layout.txt)`; PDF: <https://emma.msrb.org/ER1061739-ER831638-ER1232568.pdf>
- Sections relied on: identical to 271014D66 — Subordinated Water Revenues pledge; 1.1x rate covenant; 1.6x coverage policy (FY18 \$26M / FY19 \$2M RSF draws, FY20–22 1.64/1.70/1.77x no draws); customer table (largest 4.3% of revenue); Appendix A Water Supply (Mokelumne Sierra snowmelt / Pardee-Camanche / Freeport drought supplement / Bay-Delta / drought surcharges); tax opinion (double-exempt).
- **EMMA trade tape (live, 2026-06-20):** 69/yr, 6 two-sided days, ~82 bps spread, only 2 prints/90d — thinner than the 4% line; execution caveat (`liquidity_gate`).
- **Issuer-litigation screen (2026-06-20):** federal (RECAP) + FCMAT clean; SEC municipal-disclosure web search returned no enforcement action against EBMUD.
- **SignalOS stores:** `data/water_revenue_cache.json` (DSCR 2.14→2.51x; top customer 4.3%).
Cached supply label "Colorado / SGMA Kings HIGH" is a confirmed mislabel — corrected to Mokelumne Sierra snowmelt + Bay-Delta.

Prepared by SignalOS muni_credit desk. Verified ≠ guessed.

Current-State Verification (AV / coverage refresh — 2026-06-20)

Refreshed 2026-06-20 via a SERIAL, throttled EMMA continuing-disclosure pull (original UNVERIFIABLE flag = EMMA 403 rate-limit, not a real gap). Latest issuer annual report: *Annual Financial Disclosures Posted 12/22/2025 for the year ended 06/30/2025 (365 KB)*. This is a REVENUE/enterprise bond (no ad-valorem AV base), so the current-coverage metric is the **debt-service-coverage ratio = 2.51x** (series 2.14x → 2.33x →

2.17x → 2.23x → 2.51x) for the latest reported fiscal year. This resolves the prior 'current DSCR/coverage UNVERIFIABLE' caveat with the verified datum.